

Notes: Nini, Smith & Sufi (RFS, 2012)

Creditor Control Rights, Corporate Governance, and Firm Value

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1 Big picture

- **Question.** Do corporate creditors exert meaningful control over managerial decisions before payment default or bankruptcy?
- **Traditional view.** In much of the corporate governance literature, creditors are passive until a payment default, while shareholders and boards govern firms in normal states.
- **Alternative view.** The paper argues that financial covenant violations shift control rights to creditors well before payment default, placing firms in a mixed-control region where both creditors and equityholders influence decisions.
- **Main empirical event.** A new financial covenant violation reported in an SEC filing. Violations are common: 10–20% of public firms report a covenant violation in a given year, and more than 40% violate at some point in the sample.
- **Main findings.** After a violation, firms reduce acquisitions and capital expenditures, shrink assets, lower leverage, cut shareholder payouts, raise cash, and experience higher CEO turnover.
- **Contracting evidence.** Post-violation renegotiated loans become more restrictive: spreads and fees rise, maturities shorten, syndicates shrink, collateral and borrowing-base provisions become more common, and investment/financing covenants tighten.
- **Performance evidence.** Operating performance and abnormal stock returns improve after covenant violations, suggesting that creditor interventions are associated with increases in firm value.
- **Economic takeaway.** Debt covenants are not just passive tripwires. They are governance devices that allocate control rights to creditors when firms deteriorate but are not yet in default.

2 Incremental contribution of the paper

- **Expands corporate governance beyond shareholders.** The paper brings creditors into the core corporate governance framework, showing that lenders can influence management before payment default or bankruptcy.
- **Large-sample evidence on covenant-violation governance.** Prior work provided anecdotes or focused on narrow outcomes such as investment. This paper constructs a broad sample of covenant violations from SEC filings and analyzes many real, financial, governance, and performance outcomes.
- **Shows a broad governance intervention, not just credit tightening.** The paper documents changes in capital expenditures, acquisitions, leverage, payouts, cash, debt issuance, CEO turnover, operating performance, and stock returns.
- **Links formal and informal creditor control.** Renegotiated contracts impose stronger formal restrictions, while CEO turnover indicates that creditors may also influence firms through informal channels and behind-the-scenes pressure.
- **Moves creditor intervention outside distress/bankruptcy.** The sample firms are often deteriorating but generally not near payment default or bankruptcy. This distinguishes covenant-based governance from classic default or Chapter 11 creditor control.
- **Provides public violation data.** The paper is one of the first to make comprehensive financial covenant violation data for public firms available, creating a new measurement basis for later research.
- **Connects debt contracting to firm value.** The paper goes beyond behavior changes and studies whether interventions are followed by improved operating and stock performance.
- **Implication for theory.** Incomplete-contract and corporate governance models should treat creditors as active control-right holders in intermediate distress states, not only in payment default.

3 Data and measurement

3.1 SEC-based covenant violation sample

- The authors read SEC 10-K and 10-Q filings of U.S. nonfinancial public firms from 1996 through 2008.
- The main sample runs from 1997Q2 to 2008Q4 because the authors require four prior quarters without a violation to classify a violation as new.
- The final panel contains 7,661 firms and 181,704 firm-quarter observations.
- The analysis focuses on financial covenant violations and excludes rare affirmative or nonfinancial covenant breaches.
- A new financial covenant violation is defined as a violation by a firm that has not violated a financial covenant in the previous four quarters.

Interpretation: Financial covenant violations are useful governance events because they transfer significant contractual authority to creditors even when the firm has not missed a payment.

3.2 Loan renegotiation data

- DealScan is used to compare loans made shortly before and shortly after a new covenant violation.
- The comparison focuses on cases where the post-violation loan is plausibly a renegotiation of the pre-violation loan.
- The table records changes in loan size, spreads, fees, maturity, syndicate size, collateral, borrowing bases, sweep provisions, and covenant terms.

Interpretation: This part documents the formal contractual mechanism through which creditors gain stronger control.

3.3 Firm behavior and governance outcomes

- Investment outcomes: assets, property plant and equipment, capital expenditures, and cash acquisitions.
- Financial policy outcomes: net debt issuance, total debt, shareholder payouts, and cash holdings.
- Governance outcomes: CEO turnover, voluntary turnover, and forced turnover.
- Performance outcomes: operating cash flow, sales growth, operating costs, and abnormal stock returns.

Interpretation: The breadth of outcomes lets the paper show that creditor control affects the whole firm, not just one narrow margin such as investment.

3.4 Event timing

- Quarter 0 is the first quarter in which the firm reports the new covenant violation.
- The actual violation occurs between quarter -1 and quarter 0 because the filing reveals the violation after it has occurred.
- Figures track mean and median outcomes from four quarters before to four quarters after the violation.

Interpretation: The event timing is designed to separate pre-violation deterioration from post-violation changes in policy and performance.

4 Models and empirical specifications

4.1 Pre-post event-time graphs

The figures plot the mean and median of firm outcomes around the violation:

$$y_{t+k}, \quad k = -4, \dots, 4,$$

where t is the new violation quarter.

Interpretation: The graphs are descriptive but powerful: they show firm deterioration before the violation and policy reversals afterward.

4.2 First-difference behavior regressions

The main policy regressions estimate changes in firm outcomes around new violations:

$$\Delta y_{i,t} = \alpha + \beta NewViolation_{i,t} + \Gamma X_{i,t-1} + \mu_{industry} + \lambda_{quarter} + \varepsilon_{i,t}.$$

Interpretation: The coefficient β measures the short-run change in behavior associated with a new covenant violation.

4.3 Higher-order covenant controls

The regressions flexibly control for variables that commonly appear in financial covenants:

$$X = (OCF/Assets, Leverage, InterestExpense/Assets, NetWorth/Assets, CurrentRatio, MarketToBook).$$

Second and third powers of these controls are included in some specifications.

Interpretation: This helps compare firms that are close in financial condition but differ in whether they crossed a covenant threshold.

4.4 CEO turnover hazard models

The paper estimates Cox proportional hazard models:

$$h_i(t) = h_0(t) \exp\{\beta NewViolation_{i,t} + \Gamma X_{i,t}\}.$$

Interpretation: These models evaluate whether the probability of CEO turnover jumps after a violation, conditional on performance and financial controls.

4.5 Operating performance regressions

Operating performance is examined with first-difference regressions around violation events:

$$\Delta OCF_{i,t+k} = \alpha_k + \beta_k NewViolation_{i,t} + \Gamma X_{i,t-1} + \varepsilon_{i,t+k}.$$

Interpretation: Positive post-violation changes in operating cash flow are interpreted as evidence of a turnaround in performance.

4.6 Abnormal stock returns

The paper uses event-time and calendar-time abnormal return models:

$$AR_{i,t} = R_{i,t} - R_{i,t}^{benchmark},$$

where benchmarks include size/book-to-market/momentum matched portfolios and factor models.

Interpretation: Stock return evidence tests whether creditor intervention improves equity value, not only debt value or accounting performance.

5 Identification and empirical design

5.1 Why financial covenant violations are useful events

- Violations transfer contractual rights to creditors, including acceleration rights, waiver leverage, and the ability to renegotiate restrictions.
- Violations are common, allowing a large-sample analysis rather than a bankruptcy sample.
- Violations occur before payment default, allowing the paper to study creditor governance in an intermediate distress state.
- Violations are often tied to financial thresholds, creating a natural governance discontinuity around deteriorating performance.

Interpretation: The paper does not randomly assign covenant violations, but the event is a legally meaningful control-right transfer.

5.2 Main identification challenges

- Violating firms are deteriorating before violation, so post-violation changes may reflect mean reversion.
- Firms close to covenant thresholds may differ from nonviolators in unobserved ways.
- Creditors may allow bad firms to exit and keep good firms alive, creating sample selection.
- SEC disclosure timing may lag the actual violation date.

5.3 Design responses

- The paper documents pre-trends explicitly in Figures 3-5.
- Regressions include flexible financial-performance controls and fixed effects.
- Exit analysis shows that selection through liquidation or bankruptcy is limited in the first year.
- Performance and stock return results provide complementary evidence that firm value improves rather than merely debt claim protection.

Interpretation: The evidence is strongest as a triangulated governance pattern: contracts tighten, policies become conservative, CEOs turn over, and performance improves.

6 Section-by-section study guide

- **Introduction.** Contrasts shareholder-centered governance with a mixed-control view in which creditors matter before default.
- **Related literature.** Links the paper to creditor control, covenants, hedge fund activism, and board governance.
- **Covenant background.** Explains affirmative, negative, and financial covenants and why violations transfer control rights.
- **Data section.** Builds the SEC-based violation panel and describes violation incidence.
- **Financial condition and exit.** Shows violators are deteriorating but not typically near payment default or bankruptcy.
- **Investment and financial policy.** Documents immediate conservative changes after violation.
- **CEO turnover.** Shows governance changes through management replacement.
- **Performance and value.** Shows operating and stock performance improvements after violations.

7 Tables and figures

7.1 Figure 1 and Figure 2: Governance view and covenant-violation incidence

Read:

- Figure 1 contrasts the traditional governance view with the creditor-oriented mixed-control view.
- Figure 2 shows that covenant violations are frequent: 10–20% of firms report violations in many years.
- New violations follow a similar cyclical pattern, peaking around the 2001–2002 downturn.

Detailed interpretation: Figure 1 is conceptual: it defines the paper’s main thesis. Figure 2 makes the empirical setting economically important: covenant violations are not rare legal technicalities, but common events for public firms.

Economic message: Creditor governance is both conceptually distinct and empirically common.

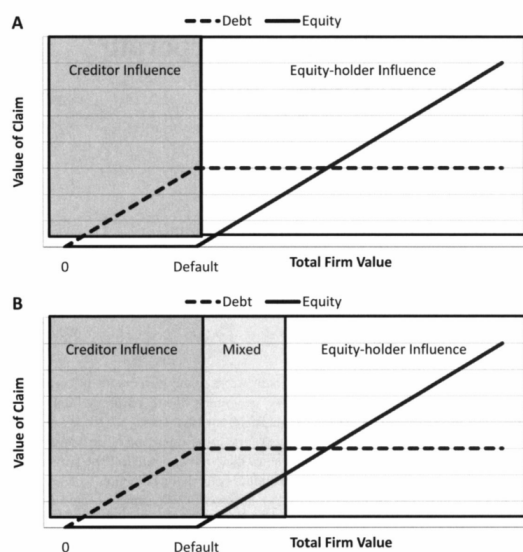


Figure 1
Corporate governance: Which investors influence managerial decisions?
Panel A shows a traditional view of corporate governance, in which creditor influence over managerial decision is limited to payment default states. Panel B shows a more creditor-oriented view, in which both creditors and equity holders influence managerial decisions.

(a) Figure 1: Corporate governance views

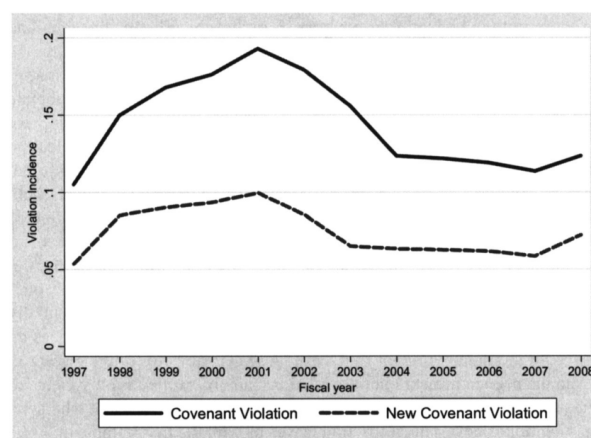


Figure 2
Covenant violations from 1997 to 2008
This figure presents the annual fraction of firms reporting a covenant violation in an SEC 10-K or 10-Q filing during the fiscal years 1997 to 2008 (covering reports through June 2009 in calendar time). A new covenant violation is a financial covenant violation by a firm that has not violated a covenant in the previous four quarters. The sample includes 7,661 firms.

(b) Figure 2: Covenant violations from 1997 to 2008

Figure 1 and Figure 2: creditor control framework and violation frequency

7.2 Table 1 and Table 2: Contract renegotiation and violation frequency

Read:

- Table 1 shows that post-violation loan contracts are smaller, more expensive, shorter maturity, and more restrictive.
- Secured status, borrowing bases, and sweep provisions become more common after violations.
- Table 2 shows that 40.5% of firms ever report a covenant violation and 6.9% of firm-quarter observations contain a violation.
- Violations are common across industries, size groups, and rated/unrated firms.

Detailed interpretation: Table 1 identifies the formal channel: creditors use the violation to renegotiate lending terms and impose control restrictions. Table 2 shows that this formal channel is relevant for a large population of firms.

Economic message: Covenant violations are a major mechanism by which creditors convert contractual contingencies into active governance rights.

Table 1
Comparing loan contracts before and after a covenant violation

Panel A: Contract changes				
	N	Before	After	Difference
<i>Major loan terms</i>				
Loan Size (\$ M)	239	318	289	−29
Interest Rate Spread (bps)	239	174	213	39**
Total Fees (bps)	239	22	32	11**
Tenor (yr.)	239	3.7	3.1	−0.6**
Syndicate Size (no.)	239	7.2	6.5	−0.7*
<i>Incidence of additional nonprice terms</i>				
Secured	149	0.78	0.89	0.11**
Performance Pricing	149	0.76	0.62	−0.14**
Borrowing Base	149	0.31	0.45	0.14**
Some Sweep Provision	65	0.77	0.95	0.18**
<i>Incidence of various covenants</i>				
Max. CAPEX	239	0.22	0.32	0.10**
Min. EBITDA	239	0.08	0.17	0.09**
Max. Debt-to-EBITDA	239	0.50	0.36	−0.15**
Min. Interest Coverage	239	0.32	0.23	−0.09**
<i>Level of various covenants</i>				
Max. CAPEX (\$ M)	28	44	30	−14*
Min. EBITDA (\$ M)	9	25	22	−3
Max. Debt-to-EBITDA	55	4.0	4.4	0.4*
Min. Interest Coverage	37	2.7	2.3	−0.4**

(a) Table 1: Comparing loan contracts before and after a covenant violation

Table 2
Frequency of financial covenant violations

	Violator Percentage
Fraction of firms ever reporting covenant violation	40.5
Fraction of firm-quarter observations with covenant violation	6.9
Fraction of firm-quarter observations with new covenant violation	2.1
<i>By industry</i>	
Agriculture, minerals, construction	41.1
Manufacturing	40.2
Transportation, communication, and utilities	38.3
Trade—wholesale	53.3
Trade—retail	42.1
Services	39.1
<i>By size (book assets)</i>	
Less than \$100 M	43.7
\$100 M to \$250 M	43.1
\$250 M to \$500 M	41.7
\$500 M to \$1,000 M	39.3
\$1,000 M to \$2,500 M	33.2
\$2,500 M to \$5,000 M	26.7
Greater than \$5,000 M	25.3
<i>Borrower does not have credit rating</i>	40.6
<i>Borrower has credit rating</i>	40.2

This table presents the percentage of firms that report a financial covenant violation in a 10-K or 10-Q SEC filing at some point between 1997 and 2008. The sample includes firm-year quarters for which we have available information on violations in SEC filings for the previous four quarters. A new covenant violation is a financial

(b) Table 2: Frequency of financial covenant violations

Table 1 and Table 2: contract changes and frequency of violations

7.3 Figure 3 and Table 3: Which firms violate covenants?

Read:

- Figure 3 shows deteriorating operating cash flow, market-to-book, net worth, and current ratio before violation, with leverage and interest expense rising.
- Table 3 shows violators are weak relative to other firms but not typically bankrupt-type firms.
- Median violators still have substantial net worth and current ratios, and many are not in imminent payment default.

Detailed interpretation: Figure 3 establishes the pre-violation deterioration that triggers covenants. Table 3 shows the intermediate-distress nature of the sample: firms are doing poorly, but they are not the extreme tail associated with payment default.

Economic message: Covenant violations are early-warning governance events.

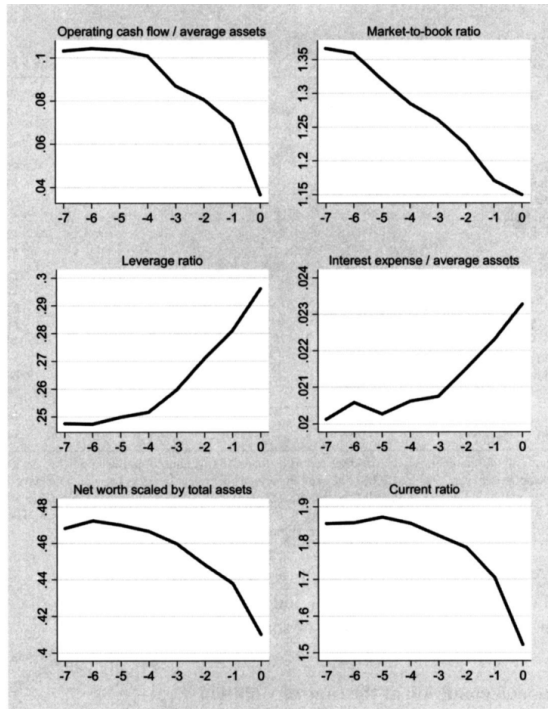


Figure 3
Firm performance in quarters preceding New Financial Covenant Violation
 This figure presents sample medians for various firm performance measures leading up to a new financial covenant violation. A new violation is a violation by a firm that has not violated in the previous four years.

(a) Figure 3: Firm performance before new violation

Table 3
Which firms violate covenants?

Panel A: Distribution of variables for new violators

	N	10 th	25 th	50 th	75 th	90 th	All Firms 50 th
Assets (\$ M)	3,755	20	43	131	480	1,700	206
Change in Ln(Sales)	3,255	-0.406	-0.142	0.028	0.177	0.401	0.064
Operating cash flow / average assets	3,713	-0.289	-0.081	0.035	0.105	0.170	0.104
Sales / average assets	3,748	0.336	0.660	1.054	1.587	2.299	0.999
Operating costs / average assets	3,713	0.358	0.682	1.090	1.639	2.382	0.934
Net worth / assets	3,755	0.065	0.238	0.410	0.576	0.720	0.498
Leverage ratio	3,666	0.029	0.140	0.296	0.461	0.636	0.197
Current ratio	3,667	0.652	1.033	1.519	2.330	3.505	1.950
S&P issuer credit rating	748	B-	B	BB-	BB	BBB	BB+
Market-to-book ratio	3,755	0.767	0.920	1.158	1.616	2.456	1.442
Payout yield	3,251	0.001	0.008	0.029	0.080	0.186	0.034
Dividend payer	3,266	0.000	0.000	0.000	1.000	1.000	0.000

Panel B: Within industry-quarter rank of new violators

	N	10 th	25 th	50 th	75 th	90 th
Assets (\$ M)	3,755	0.10	0.22	0.42	0.67	0.84
Change in Ln(Sales)	3,255	0.08	0.19	0.44	0.72	0.90
Operating cash flow / average assets	3,713	0.06	0.15	0.31	0.53	0.75
Sales / average assets	3,748	0.12	0.29	0.53	0.77	0.92
Operating costs / average assets	3,713	0.15	0.33	0.59	0.82	0.93
Net worth / assets	3,755	0.08	0.18	0.37	0.62	0.81
Leverage ratio	3,666	0.24	0.44	0.67	0.85	0.95
Current ratio	3,667	0.06	0.16	0.35	0.62	0.81
S&P issuer credit rating	748	0.00	0.08	0.24	0.47	0.67
Market-to-book ratio	3,755	0.08	0.17	0.36	0.61	0.83
Payout yield	3,251	0.10	0.25	0.49	0.73	0.89
Dividend payer	3,266	0.09	0.21	0.42	0.68	0.88

Panel A shows the distribution of variables for new covenant violators at the time of violation. The column "All Firms 50th" shows the distribution of variables for all firms in the sample.

(b) Table 3: Which firms violate covenants?

Figure 3 and Table 3: violator condition at the time of violation

7.4 Table 4 and Table 5: Exit risk and outcome variables

Read:

- Table 4 shows that violators are somewhat more likely to exit but the effect is modest after controls.
- Most violators survive at least one year after violation.
- Table 5 summarizes investment, financing, governance, and performance variables used later.

Detailed interpretation: These tables address a key selection concern. If all improved performance came from bad firms disappearing, the interpretation would be weaker. Table 4 shows exit rises only modestly, while Table 5 prepares the outcome definitions.

Economic message: The post-violation effects are not simply liquidation selection; most firms continue and adjust behavior.

Table 4
The effect of financial covenant violations on firm exit

Panel A: Frequency of exit from sample within four quarters

	New Violators	Nonviolators
Any Exit	0.123	0.084
Non-distress-related exit	0.059	0.058
Acquired	0.057	0.057
Become private	0.003	0.002
Distress-related exit	0.064	0.026
Bankrupt and/or liquidated	0.011	0.004
Dropped from exchange	0.010	0.007
Stop filing with SEC for other reason	0.043	0.015
Missing data	0.000	0.001

Panel B: Marginal effects on sample exit from proportional hazard model

	(1)	(2)	(3)	(4)
	Any exit	Non distressed exit	Distressed exit	Distressed exit
New financial covenant violation	0.273** (0.089)	0.102 (0.121)	0.412 (0.215)	0.325 (0.198)
New financial covenant violation _{t-1}	0.097 (0.130)	-0.254 (0.183)	0.263 (0.281)	0.363 (0.254)
New financial covenant violation _{t-2}	0.328** (0.094)	0.075 (0.205)	0.208 (0.442)	0.173 (0.419)
New financial covenant violation _{t-3}	-0.040 (0.149)	-0.059 (0.207)	0.012 (0.376)	-0.278 (0.384)
New financial covenant violation _{t-4}	0.080 (0.073)	0.100 (0.118)	0.214 (0.181)	0.117 (0.202)
Ln(assets)	-0.127** (0.021)	-0.044* (0.018)	-0.375** (0.058)	-0.299** (0.065)
Operating cash flow / average assets	-0.493** (0.127)	0.130 (0.110)	-1.266** (0.185)	-3.334** (0.486)
Leverage ratio	-0.431** (0.128)	-0.326 (0.181)	-0.356 (0.228)	-3.842** (1.246)
Interest expense / average assets	2.418** (0.669)	-2.988 (1.584)	5.436** (1.943)	44.645** (17.145)
Net worth / assets	-0.860** (0.090)	-0.406** (0.110)	-1.847** (0.165)	-2.191** (0.294)
Current ratio	0.000 (0.012)	0.000 (0.014)	0.018 (0.033)	-0.279 (0.164)
Market-to-book ratio	-0.179** (0.031)	-0.124** (0.029)	-0.471** (0.048)	-1.707** (0.216)
Higher-order covenant controls	No	No	No	Yes
Lagged first-difference controls	No	No	No	Yes

(a) Table 4: Financial covenant violations, payment default, and firm exit

Table 5
Summary statistics

	N	Mean	SD	10 th	Median	90 th
Operating cash flow / average assets	179,350	0.057	0.237	-0.200	0.104	0.260
Leverage ratio	176,291	0.242	0.242	0.000	0.197	0.549
Interest expense / average assets	172,190	0.021	0.028	0.000	0.013	0.050
Net worth / assets	181,698	0.475	0.306	0.145	0.498	0.830
Current ratio	177,749	2.787	2.783	0.818	1.950	5.482
Market-to-book ratio	181,698	2.027	1.775	0.850	1.442	3.764
Change in Ln(assets)	165,968	0.057	0.380	-0.258	0.041	0.381
Change in Ln(PPE)	164,990	0.038	0.484	-0.299	0.023	0.418
CAPX / average assets	177,014	0.059	0.078	0.005	0.034	0.138
Acquisitions / average assets	173,681	0.025	0.106	0.000	0.000	0.032
Net debt issuance / average assets	174,681	0.031	0.289	-0.137	0.000	0.204
Change in Ln(total debt)	129,399	0.038	1.017	-0.637	-0.005	0.785
Cash / assets	181,652	0.182	0.220	0.006	0.082	0.537
Ln(1 + shareholder payout)	158,339	1.279	2.036	0.000	0.000	4.615
Change in Ln(sales)	164,789	0.062	0.536	-0.310	0.064	0.438
Change in Ln(operating costs)	162,195	0.053	0.396	-0.266	0.061	0.378
Forced CEO turnover	64,630	0.009	0.096	0.000	0.000	0.000
Unforced CEO turnover	64,630	0.020	0.141	0.000	0.000	0.000
Total CEO turnover	64,630	0.030	0.170	0.000	0.000	0.000

This table presents summary statistics for the sample of 7,661 firms and 181,704 firm-quarter observations from fiscal quarters between 1997 and 2008. The sample includes firm-year quarters for which we have available information on violations in SEC filings for the previous four quarters. All flow variables (operating cash flow, interest expense, capital expenditures, cash acquisitions, and net debt issuance) are annualized with the exception of shareholder payouts. Shareholder payouts include cash dividends and share repurchases. N, number of observations; SD, standard deviation.

Table 5 provides summary statistics for the outcome and control variables used in our analysis. All of these variables are defined in the Supplemental

(b) Table 5: Summary statistics

Table 4 and Table 5: exit and outcome definitions

7.5 Figure 4 and Figure 5: Investment and financial conservatism

Read:

- Figure 4 shows post-violation declines in capital expenditures and cash acquisitions.
- Figure 5 shows lower net debt issuance, lower debt, lower payouts, and higher cash after violations.
- Both figures show sharp changes around quarter 0, not smooth extrapolation of pre-trends.

Detailed interpretation: These figures show immediate policy shifts after creditor control rights activate. The investment cuts and financial conservatism are consistent with creditors restricting managerial discretion and pushing balance-sheet repair.

Economic message: Covenant violations shift firms toward creditor-preferred conservative policies.

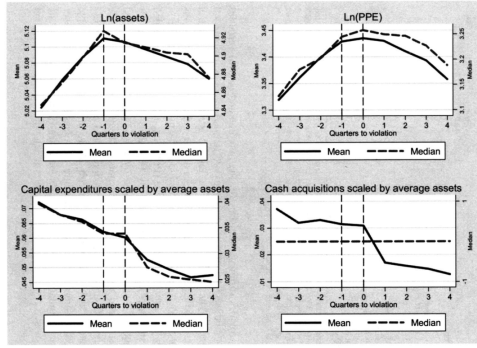


Figure 4
Financial covenant violations and investment conservatism
This figure presents means and medians for measures of investment around a new financial covenant violation. A new violation is a violation by a firm that has not violated four quarters. The violation is first reported at quarter 0, which implies that it took place at some point between quarter -1 and 0.

(a) Figure 4: Financial covenant violations and investment conservatism

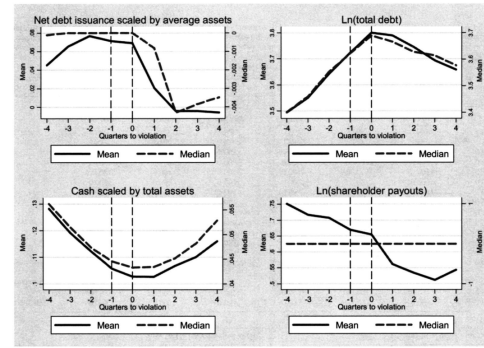


Figure 5
Financial covenant violations and financial conservatism
This figure presents means and medians for measures of financial policy around a new financial covenant violation. A new violation is a violation by a firm that has not violated four quarters. The violation is first reported at quarter 0, which implies that it took place at some point between quarter -1 and 0.

(b) Figure 5: Financial covenant violations and financial conservatism

Figure 4 and Figure 5: real and financial policy adjustment

7.6 Table 6 and Table 7: Regression evidence on conservatism

Read:

- Table 6 confirms investment conservatism in first-difference regressions: assets, PPE, capital expenditures, and acquisitions fall after violations.
- Table 7 confirms financial conservatism: debt issuance, total debt, and shareholder payouts fall, while cash rises.
- Results survive controls for financial condition and lagged outcomes.

Detailed interpretation: Tables 6 and 7 convert the visual event patterns into regression estimates. The key evidence is that new violation indicators remain important even after flexible controls for covenant-relevant performance variables.

Economic message: Creditor intervention affects both sides of the corporate policy menu: real investment and financial policy.

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Table 6
Financial covenant violations and investment conservatism
Panel A

	Change in Ln(assets)				Change in Ln(PPE)			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
New financial covenant violation _{it}	-0.041** (0.007)	-0.023** (0.006)	-0.023** (0.006)	-0.022** (0.003)	-0.042** (0.011)	-0.031** (0.010)	-0.033** (0.011)	-0.033** (0.012)
New financial covenant violation _{it-4}				-0.029** (0.006)				-0.026** (0.008)
Operating cash flow / average assets	0.309** (0.030)	0.512** (0.036)	0.466** (0.036)	0.457** (0.032)	0.312** (0.022)	0.459** (0.029)	0.362** (0.031)	0.357** (0.031)
Leverage ratio	-0.007** (0.021)	-0.171** (0.063)	-0.149** (0.066)	-0.165** (0.069)	-0.024 (0.029)	-0.268** (0.095)	-0.114** (0.037)	-0.133** (0.035)
Interest expense / average assets	0.044** (0.028)	0.486** (0.058)	0.339** (0.058)	0.356** (0.067)	0.785** (0.105)	0.785** (0.105)	0.785** (0.105)	0.785** (0.105)
Net worth / assets	0.031 (0.023)	0.141** (0.031)	0.166** (0.031)	0.151** (0.027)	0.110** (0.040)	0.216** (0.040)	0.235** (0.044)	0.225** (0.047)
Current ratio	-0.005** (0.001)	0.025** (0.005)	0.023** (0.005)	0.023** (0.005)	0.066** (0.005)	0.025** (0.007)	0.025** (0.007)	0.025** (0.007)
Market-to-book ratio	0.001 (0.003)	0.164** (0.012)	0.210** (0.013)	0.209** (0.013)	0.269** (0.013)	0.267** (0.013)	0.267** (0.013)	0.267** (0.013)
Higher-order covenant controls	No	Yes	Yes	Yes	No	Yes	Yes	Yes
Lagged covenant controls	No	Yes	Yes	Yes	No	Yes	Yes	Yes
No. of observations	150,474	150,474	143,532	119,951	150,019	150,019	143,119	119,608
R ²	0.17	0.19	0.20	0.19	0.14	0.14	0.13	0.14

(continued)

Table 6
(Continued)
Panel B

	Change in CAPX / average assets				Change in acquisitions / average assets			
	(9)	(10)	(11)	(12)	(13)	(14)	(15)	(16)
New financial covenant violation _{it}	-0.001** (0.002)	-0.007** (0.002)	-0.009** (0.002)	-0.001 (0.002)	-0.009** (0.002)	-0.008** (0.002)	-0.007** (0.002)	-0.007** (0.002)
New financial covenant violation _{it-4}				0.011** (0.002)				0.007** (0.002)
Operating cash flow / average assets	0.011** (0.002)	0.011** (0.002)	0.026** (0.003)	0.026** (0.003)	0.023** (0.002)	0.023** (0.003)	0.023** (0.003)	0.026** (0.003)
Leverage ratio	-0.007** (0.003)	-0.029** (0.003)	-0.029** (0.003)	-0.022** (0.003)	-0.054** (0.005)	-0.111** (0.005)	-0.114** (0.005)	-0.117** (0.005)
Interest expense / average assets	0.122** (0.011)	0.621** (0.063)	0.621** (0.063)	0.621** (0.063)	0.183** (0.025)	0.183** (0.025)	0.183** (0.025)	0.183** (0.025)
Net worth / assets	0.001 (0.003)	-0.002 (0.003)	-0.002 (0.003)	-0.002 (0.003)	-0.011** (0.003)	-0.008** (0.003)	-0.008** (0.003)	-0.008** (0.003)
Current ratio	0.001** (0.000)	0.001** (0.001)	0.002** (0.001)	0.002** (0.001)	0.002** (0.001)	0.002** (0.001)	0.002** (0.001)	0.002** (0.001)
Market-to-book ratio	-0.001** (0.000)	-0.002** (0.001)	-0.002** (0.001)	-0.002** (0.001)	-0.002** (0.001)	-0.002** (0.001)	-0.002** (0.001)	-0.002** (0.001)
Higher-order covenant controls	No	Yes	Yes	Yes	No	Yes	Yes	Yes
Lagged covenant controls	No	Yes	Yes	Yes	No	Yes	Yes	Yes
No. of observations	145,442	145,442	138,694	116,253	141,198	141,198	134,664	112,815
R ²	0.06	0.06	0.06	0.06	0.02	0.02	0.03	0.03

This table presents first-difference estimates of the marginal effect of a new covenant violation on the investment decisions of firms from the quarter of the violation to four quarters after the violation. Panel A examines changes in total assets and PPE. Panel B examines CAPX and acquisitions, both scaled by average assets. Subscript *it* refers to a violation in the contemporaneous quarter, and *it-4* refers to a violation four quarters prior. Covenant controls are the six variables: operating cash flow scaled by average assets; the leverage ratio; the ratio of interest expense to average assets; the ratio of net worth to total assets; the current ratio; and the market-to-book ratio. Higher-order covenant controls refers to the second and third power of the covenant control variables; lagged covenant controls refers to the four-quarter lagged level of the covenant control variables. All specifications include industry, calendar-quarter, and fiscal-quarter fixed effects and the following control variables: the level and first difference of Ln(assets); the level and first difference of PPE / assets. Standard errors are clustered by firm.

(a) Table 6, part 1: investment conservatism

(b) Table 6, part 2: investment conservatism

Table 6: Financial covenant violations and investment conservatism

Table 7
Financial covenant violations and financial conservatism

Panel A	Change in NDI / average assets				Change in Leverage ratio			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
New financial covenant violations	-0.034** (0.008)	-0.034** (0.007)	-0.030** (0.007)	-0.019** (0.008)	-0.106** (0.017)	-0.080** (0.017)	-0.097** (0.017)	-0.068** (0.017)
New financial covenant violations ₋₄								
Operating cash flow / average assets	0.092** (0.008)	0.075** (0.012)	0.064** (0.011)	0.063** (0.013)	0.060 (0.016)	0.216** (0.049)	0.000 (0.057)	-0.066 (0.066)
Leverage ratio	-0.485** (0.024)	-1.088** (0.023)	-1.502** (0.054)	-1.482** (0.059)	-0.862** (0.060)	-4.822** (0.243)	-4.924** (0.243)	-4.851** (0.256)
Interest expense / average assets	2.221** (0.148)	12.856** (0.540)	10.878** (0.541)	10.249** (0.550)	1.490** (0.560)	14.911** (1.450)	13.149** (1.362)	12.847** (1.475)
Net worth / assets	-0.033** (0.007)	-0.088** (0.017)	-0.027 (0.015)	-0.029 (0.016)	-0.107* (0.042)	0.092 (0.064)	0.046 (0.066)	0.032 (0.068)
Current ratio	0.001 (0.001)	0.005 (0.003)	0.003 (0.003)	0.014** (0.003)	0.012 (0.004)	0.009 (0.014)	0.009 (0.014)	0.011 (0.017)
Market-to-book ratio	0.087** (0.001)	0.026** (0.005)	0.027** (0.005)	0.038** (0.004)	0.150** (0.006)	0.150** (0.025)	0.124** (0.025)	0.124** (0.025)
Higher-order covenant controls	No	Yes	Yes	Yes	No	Yes	Yes	Yes
Lagged covenant controls	No	No	Yes	Yes	No	Yes	Yes	Yes
No. of observations	146,036	148,036	141,439	118,238	119,882	119,882	114,110	95,201
R ²	0.06	0.08	0.12	0.11	0.04	0.06	0.06	0.06

(continued)

Table 7
Continued

Panel B	Change in cash / total assets				Change in Leverage ratio			
	(9)	(10)	(11)	(12)	(13)	(14)	(15)	(16)
New financial covenant violations	0.008** (0.002)	0.006** (0.002)	0.0056* (0.002)	0.005* (0.002)	-0.081** (0.023)	-0.074** (0.023)	-0.047* (0.023)	-0.040 (0.023)
New financial covenant violations ₋₄								
Operating cash flow / average assets	0.018** (0.004)	0.021** (0.005)	0.038** (0.006)	0.039** (0.006)	0.096** (0.023)	0.132** (0.034)	0.137** (0.043)	0.135** (0.043)
Leverage ratio	-0.049 (0.040)	-0.186** (0.019)	-0.096** (0.020)	-0.086** (0.021)	-0.188** (0.042)	-0.737** (0.123)	-0.460** (0.130)	-0.665** (0.139)
Interest expense / average assets	0.049 (0.047)	-0.167 (0.184)	-0.040 (0.180)	0.066 (0.196)	1.044** (0.239)	7.458** (1.191)	5.435** (1.128)	5.615** (1.191)
Net worth / assets	0.000 (0.004)	-0.027 (0.006)	-0.040** (0.008)	-0.041** (0.008)	0.142** (0.028)	0.153** (0.047)	0.227** (0.063)	0.294** (0.069)
Current ratio	0.000 (0.000)	-0.007 (0.002)	-0.007 (0.001)	-0.007 (0.001)	0.000 (0.003)	-0.004 (0.010)	-0.004 (0.010)	-0.004 (0.011)
Market-to-book ratio	0.000 (0.001)	-0.010** (0.001)	-0.011** (0.001)	-0.007** (0.001)	0.030** (0.005)	0.104** (0.017)	0.148** (0.018)	0.151** (0.021)
Higher-order covenant controls	No	Yes	Yes	Yes	No	Yes	Yes	Yes
Lagged covenant controls	No	No	Yes	Yes	No	No	Yes	Yes
No. of observations	150,447	150,447	143,509	119,934	124,972	124,972	119,412	100,600
R ²	0.06	0.07	0.06	0.07	0.03	0.03	0.03	0.03

This table presents first-difference estimates of the marginal effect of a new covenant violation on the financing decisions of firms from the quarter of the violation to four quarters after the violation. Panel A examines net debt issuance and growth in total debt; Panel B examines cash holdings and changes in shareholder payouts, including both dividend payments and share repurchases. Subscript i refers to a violation in the contemporaneous quarter, and $i-4$ refers to a violation four quarters prior. Covenant controls are the six variables: operating cash flow scaled by average assets, the leverage ratio, the ratio of interest expense to average assets, the ratio of net worth to total assets, the current ratio, and the market-to-book ratio. Higher-order covenant controls refers to the second and third power of the covenant control variables; lagged covenant controls refers to the four-quarter lagged level of the covenant control variables. All specifications include industry, calendar-quarter, and fiscal-quarter fixed effects and the following control variables: the level and first difference of Leverages; the level and first difference

(a) Table 7, part 1: financial conservatism

(b) Table 7, part 2: financial conservatism

Table 7: Financial covenant violations and financial conservatism

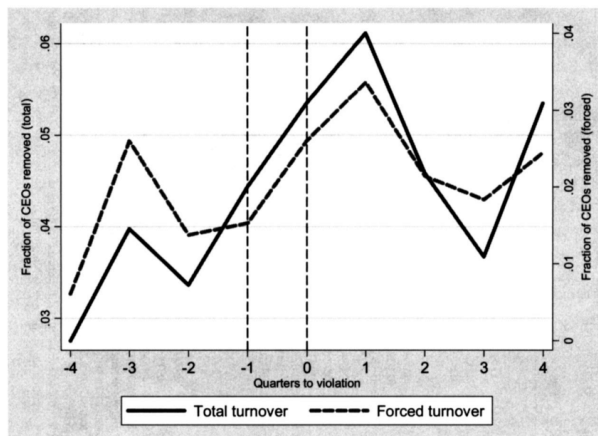
7.7 Figure 6 and Table 8: CEO turnover

Read:

- Figure 6 shows a spike in total CEO turnover and forced turnover after violations.
- Table 8 shows that new financial covenant violations predict CEO turnover in Cox hazard models.
- The effect remains after controls for operating performance, leverage, net worth, market-to-book, and prior covenant variables.

Detailed interpretation: CEO turnover is crucial because it suggests creditor influence is not limited to written contract terms. Creditors appear to exert informal governance pressure that affects top management.

Economic message: Covenant violations can transfer de facto corporate control, not merely impose financing restrictions.



(a) Figure 6: Financial covenant violations and CEO turnover

Table 8
Financial covenant violations and CEO turnover

	(1)	(2)	(3)	(4)
	Any turnover	Unforced turnover	Forced turnover	Forced turnover
New financial covenant violation _{t+1}	0.204 (0.203)	0.151 (0.247)	0.307 (0.321)	0.357 (0.309)
New financial covenant violation _t	0.235 (0.182)	-0.211 (0.323)	0.724* (0.283)	0.616* (0.301)
New financial covenant violation _{t-1}	0.372* (0.161)	0.177 (0.228)	0.710** (0.245)	0.529* (0.264)
New financial covenant violation _{t-2}	0.319 (0.244)	0.171 (0.295)	0.564 (0.346)	0.611 (0.316)
New financial covenant violation _{t-3}	0.048 (0.216)	-0.188 (0.316)	0.378 (0.306)	0.311 (0.350)
New financial covenant violation _{t-4}	0.226 (0.188)	0.019 (0.321)	0.555* (0.280)	0.642* (0.255)
Ln/assets	0.053* (0.023)	0.064** (0.030)	0.037 (0.040)	0.060 (0.041)
Operating cash flow / average assets	-1.187** (0.205)	-0.303 (0.253)	-2.283** (0.283)	-3.153** (0.826)
Leverage ratio	-0.045 (0.351)	0.605 (0.433)	-0.673 (0.533)	-8.103** (1.967)
Interest expense / average assets	-4.590 (3.116)	-13.043** (4.241)	3.570 (3.759)	31.226 (22.199)
Net worth / assets	-0.199 (0.219)	-0.192 (0.298)	-0.261 (0.337)	-1.343 (1.052)
Current ratio	-0.037* (0.016)	-0.047** (0.018)	-0.004 (0.031)	0.009 (0.153)
Market-to-book ratio	-0.030 (0.016)	-0.008 (0.018)	-0.144** (0.048)	-0.637* (0.258)

(b) Table 8: Financial covenant violations and CEO turnover

Figure 6 and Table 8: creditor influence over management

7.8 Figure 7 and Table 9: Operating performance after violation

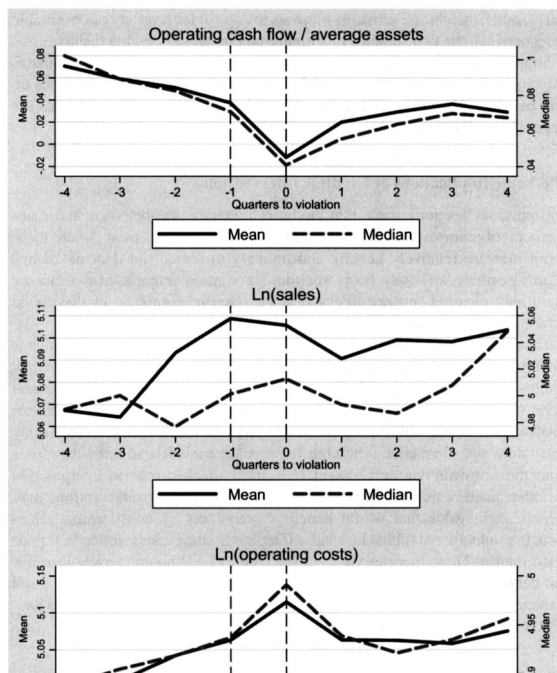
Read:

- Figure 7 shows operating cash flow improving after violation, while operating costs fall.
- Table 9 confirms improvements in operating performance in regression form.
- Improvements are driven largely by cost reductions, not revenue increases.

Detailed interpretation: This section is central for value interpretation. If creditors merely protected their own claims by starving the firm, operating performance should deteriorate. Instead, performance improves, suggesting efficiency gains.

Economic message: Creditor control can create a turnaround in firm operations that benefits the firm as a whole.

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(a) Figure 7: Post-violation operating performance

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Table 9
Financial covenant violations and operating performance

Panel A

	Change in operating cash flow / average assets				Change in Ln(sales)			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
New financial covenant violation	0.020** (0.004)	0.023** (0.004)	0.012** (0.005)	0.011** (0.004)	-0.033** (0.009)	-0.021** (0.008)	-0.029** (0.008)	-0.027** (0.009)
New financial covenant violation, -4				0.015** (0.003)				0.011 (0.007)
Operating cash flow / average assets	-0.319** (0.012)	-0.232** (0.013)	-0.374** (0.015)	-0.379** (0.017)	0.062** (0.023)	0.236** (0.073)	0.086** (0.077)	0.085** (0.077)
Leverage ratio	0.015 (0.000)	0.013* (0.023)	-0.026 (0.025)	-0.010 (0.025)	0.021 (0.033)	0.067 (0.081)	0.023 (0.084)	-0.011** (0.088)
Interest expense / average assets	-0.344** (0.054)	-0.766** (0.214)	-0.816** (0.202)	-0.511** (0.204)	-0.598** (0.246)	0.462 (0.795)	0.192 (0.838)	0.454** (0.882)
Net worth / assets	-0.007 (0.006)	-0.023** (0.010)	-0.029** (0.012)	-0.074** (0.012)	0.065 (0.012)	0.087 (0.034)	0.064 (0.043)	0.052** (0.045)
Current ratio	-0.004** (0.000)	0.009 (0.002)	-0.001 (0.002)	-0.001 (0.002)	-0.012** (0.005)	0.019** (0.006)	0.014** (0.006)	0.016** (0.006)
Market-to-book ratio	-0.001 (0.001)	0.001 (0.004)	0.003 (0.004)	0.007 (0.004)	0.012** (0.003)	0.108** (0.011)	0.115** (0.012)	0.124** (0.013)
Lagged covenant controls	No	Yes	Yes	Yes	No	Yes	Yes	Yes
Higher-order covenant controls	No	No	No	No	No	No	No	No
No. of observations	148,835	148,835	142,043	118,777	149,499	149,499	142,043	119,293
R ²	0.17	0.18	0.21	0.21	0.09	0.10	0.10	0.10

(continued)

(b) Table 9, part 1: operating performance

Figure 7 and Table 9: accounting performance effects

Table 9
Continued
Panel B

	Change in operating cash flow / average assets			
	(9)	(10)	(11)	(12)
New financial covenant violation _{<i>t</i>}	-0.052** (0.009)	-0.052** (0.009)	-0.044** (0.009)	-0.043** (0.011)**
New financial covenant violation _{<i>t-4</i>}				-0.014* (0.007)
Operating cash flow / average assets	0.282** (0.027)	0.296** (0.030)	0.362** (0.030)	0.370** (0.033)**
Leverage ratio	0.056* (0.026)	0.172** (0.060)	0.221** (0.065)	0.183** (0.070)**
Interest expense / average assets	-0.032 (0.189)	0.752 (0.563)	-0.237 (0.580)	0.240** (0.590)**
Net worth / assets	0.072** (0.021)	0.148** (0.030)	0.207** (0.038)	0.185** (0.039)**
Current ratio	0.003* (0.001)	0.013* (0.004)	0.012 (0.005)	0.012 (0.005)**
Market-to-book ratio	0.032** (0.002)	0.118** (0.008)	0.135** (0.009)	0.118** (0.008)**
Higher-order covenant controls	No	Yes	Yes	Yes
Lagged covenant controls	No	No	Yes	Yes
Number of observations	148,945	148,945	142,150	118,866
R ²	0.12	0.13	0.14	0.14

This table presents first-difference estimates of the marginal effect of a new covenant violation on the operating performance of firms from the quarter of the violation to four quarters after the violation. Panel A examines changes in operating cash flow scaled by assets and sales growth; Panel B examines growth in operating costs. Subscript *t* refers to a violation in the contemporaneous quarter, and (*t* - 4) refers to a violation four quarters

(a) Table 9, part 2: operating performance

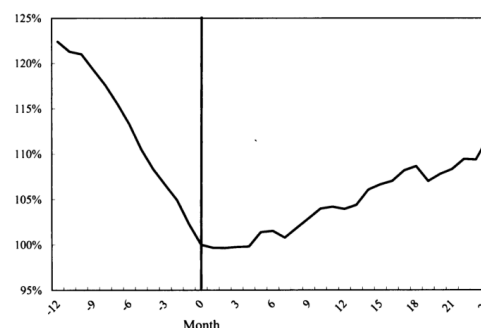


Figure 8
Financial covenant violations and stock price performance (event time)
This figure displays results from a stock price event study around the occurrence of a new covenant violation by estimating the event-study monthly abnormal returns of stocks following the report of a new loan covenant violation in an SEC 10-K or 10-Q filing. A new violation is a violation by a firm that has not violated in the previous four quarters. The estimates are for event months September 1997 through June 2009 and include 3,699 observations. The violation occurs at month 0, and the figure shows monthly cumulative average abnormal return estimates beginning one year before the violation. Abnormal returns measured against a four-factor return model, measured on a monthly basis, are (1) the excess return on the NYSE/AMEX market return; (2) the difference

(b) Figure 8: Event-time abnormal stock returns

Table 9 continuation and Figure 8: operating and equity-market response

7.9 Figure 9, Table 10, and Table 11: Stock return performance

Read:

- Figure 9 plots a covenant-violator portfolio and a benchmark portfolio with similar risk characteristics.
- Table 10 reports positive event-time abnormal returns following violation reports.
- Table 11 reports calendar-time abnormal returns; estimates are positive but less precise.

Detailed interpretation: The stock return evidence is important because it asks whether equityholders benefit from creditor intervention. The estimates indicate that equity values do not fall after intervention and may rise, consistent with value-enhancing governance.

Economic message: Creditor governance can have positive spillovers to shareholders, despite creditors' senior fixed-payoff incentives.

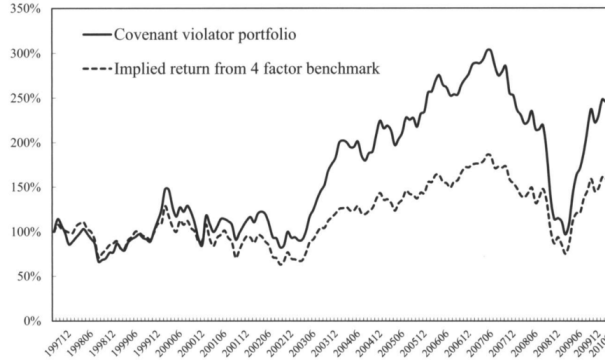


Figure 9
Financial covenant violations and stock price performance (calendar time)
This figure displays cumulative stock returns for a covenant violator portfolio and the implied return for portfolio of all stocks (including nonviolators) of similar risk as measured by a four-factor benchmark model. The figure covers the period September 1997 through March 2010, and includes violations reported between September 2007 and June 2009. The covenant violator portfolio is formed by purchasing stocks of firms that report a new covenant violation and holding the stocks for two years. A new violation is a violation by a firm

(a) Figure 9: Covenant-violator portfolio

Table 10
Event-study estimates of stock price performance following a covenant violation

Panel A: Factor loading estimates

	Intercept	Excess market return	Small minus big stocks	High minus low growth	High minus low momentum
Mean factor loading estimates	0.000	1.000	0.922	0.047	-0.335**
	(0.001)	(0.014)**	(0.016)**	(0.024)**	(0.014)**

Panel B: CAR estimates

	Event mo. [0]	Event mo. [+1, +3]	Event mo. [+1, +6]	Event mo. [+1, +12]	Event mo. [+1, +24]	Event mo. [+1, +60]
Mean CAR	-0.0221	-0.0008	0.0025	0.0032	0.0046	0.0010
Standard error estimates	(0.0039)**	(0.0023)	(0.0016)	(0.0012)*	(0.0009)**	(0.0006)
	[0.0065]**	[0.0040]	[0.0027]	[0.0019]	[0.0012]**	[0.0008]

This table reports event-time estimates of stock price performance of firms violating a loan covenant by estimating the event-study monthly abnormal returns of stocks following the report of a new loan covenant violation in an SEC 10-K or 10-Q filing. A new violation is a violation by a firm that has not violated in the previous four quarters. The estimates are for event months September 1997 through June 2009 and include 3,699 observations. Abnormal returns measured against a four-factor return model, measured on a monthly basis, are (1) the excess return on the NYSE/AMEX market return; (2) the difference between the returns on small and big stocks; (3) the return performance of value stocks relative to growth stocks; and (4) the return performance of high momentum stocks relative to low momentum stocks. Standard error estimates based on cross-sectional averages of firm-level standard are in parentheses, and time-series clustering-robust standard errors are in brackets. ** and * denote 1% and 5% levels of significance, respectively. CAR, cumulative abnormal return; mo., month.

(b) Table 10: Event-time abnormal stock returns

Figure 9 and Table 10: equity-market performance

Table 11
Calendar-time estimates of stock price performance following a covenant violation

	Holding period					
	12 mo.	12 mo.	24 mo.	24 mo.	60 mo.	60 mo.
Abnormal performance (α)	0.0028 (0.0049)	0.0019 (0.0037)	0.0049 (0.0046)	0.0039 (0.0035)	0.0046 (0.0043)	0.0037 (0.0033)
Excess market return	1.408** (0.099)	1.002** (0.098)	1.365** (0.091)	0.986** (0.009)	1.314** (0.082)	0.952** (0.087)
Small minus big stocks		1.129** (0.127)		1.076** (0.118)		1.027** (0.116)
High minus low growth		0.104 (0.145)		0.096 (0.134)		0.042 (0.125)
High minus low momentum		-0.440* (0.116)		-0.399* (0.108)		-0.358* (0.110)
Observations (mo.)	151	151	151	151	151	151

This table reports calendar-time estimates of the stock price performance of a *Covenant Violator Portfolio* measured against a four-factor return model over the period September 1997 through March 2010, for violations reported between September 2007 and June 2009. Stocks are added to the portfolio in the month following the first report of the covenant violation in an SEC 10-K or 10-Q filing, and are held in the portfolio for k months, or until they are delisted, whichever comes first. Delisting firms are assumed to earn the CRSP delisting amount in the month following the delisting and are zero afterward. The portfolio is rebalanced monthly. The abnormal performance estimate α is the intercept from a regression of the monthly return on the covenant violator portfolio on four-factor returns measured at a monthly frequency, all downloaded from mba.tuck.dartmouth.edu/pages/faculty/ken.french/: (1) the excess return on the NYSE/AMEX market return; (2) the difference between the returns on small and big stocks; (3) the return performance of value stocks relative to growth stocks; and (4) the return performance of high momentum stocks relative to low momentum stocks. White's (1980) heteroskedasticity consistent standard errors are in parentheses. ** and * denote 1% and 5% levels of significance, respectively.

Table 11: Calendar-time estimates of stock-price performance following a covenant violation

8 Result map

- **Formal control channel:** covenant violations trigger renegotiation and tighter contractual restrictions.
- **Incidence:** covenant violations are common among public firms, not rare distress events.
- **Selection boundary:** violators are deteriorating, but most are not near payment default or bankruptcy.
- **Real-policy response:** violators reduce acquisitions, capital expenditures, PPE, and asset growth.
- **Financial-policy response:** violators reduce debt, payouts, and net debt issuance and increase cash.

- **Governance response:** CEO turnover and forced turnover increase after violations.
- **Performance response:** operating cash flow improves, largely through cost reductions.
- **Valuation response:** abnormal stock returns are positive or at least not negative after violations.

9 Short summary

- Nini, Smith, and Sufi study creditor governance through financial covenant violations.
- They construct a large SEC-filing-based sample of violations for U.S. public firms.
- Violations are common, occurring for 10–20% of firms in many sample years.
- Violations trigger loan renegotiations with more restrictive terms.
- After violations, firms become more conservative in investment and financial policy.
- CEO turnover rises sharply, including forced turnover.
- Operating performance improves after violations, especially through cost reductions.
- Stock returns improve or at least do not decline, suggesting creditor actions increase firm value on average.
- The paper argues that creditors play an active corporate governance role well before payment default.

10 Conclusion

10.1 Core conclusion

Nini, Smith, and Sufi show that creditors are active corporate governors outside bankruptcy and payment default. Financial covenant violations transfer contractual control rights to creditors, and firms subsequently change real investment, financial policy, and top management.

10.2 Economic intuition

Covenants are state-contingent governance devices. When a firm deteriorates enough to cross a covenant threshold, creditors receive bargaining power and can force the firm to reduce risk, preserve cash, limit payouts, restrict investment, and replace managers.

10.3 Incremental contribution revisited

The paper’s key contribution is to reposition creditors as active governance participants in public firms. Unlike earlier studies focused on bankruptcy or narrow policy responses, this paper uses a broad covenant-violation data set to show economy-wide, multidimensional creditor influence and links that influence to improved firm performance.

10.4 Implications

- **Corporate governance:** governance is not only about boards and shareholders; creditors are important control-right holders.
- **Capital structure:** debt can discipline managers through covenant-triggered control shifts, not only through interest-payment pressure.

- **Contracting:** financial covenants are valuable because they allocate control rights before irreversible distress.
- **Empirical finance:** researchers should measure creditor governance when studying firm policies and performance.

10.5 Limitations

The paper cannot fully identify the exact mechanism behind CEO turnover. It also cannot randomly assign covenant violations, so mean reversion and selection remain important concerns. The authors address these concerns with controls, exit analysis, operating outcomes, and stock returns, but the evidence remains best interpreted as a highly consistent governance pattern rather than a randomized causal experiment.

10.6 Takeaway

Debt covenants are not just accounting tripwires. They are governance tools that shift control to creditors in intermediate distress states, often leading to conservative policies, managerial turnover, and improved performance.